

Investing in Distressed Credit

by Dominique Mielle

There is a certain gravity to Graham and Dodd. The book in your hands feels heavy and substantial, the spine is extra wide. There is a sense of the Establishment in the authors' names, sounding like something straight out of a *Great Gatsby* guestlist. Their vocabulary tickles with evocative flourishes. Call me dull, but I never thought anything in my job could “easily prove a costly snare to the unwary.” (Chap. 22) You flinch at the allegory of “Mr. Market” created by Benjamin Graham, because it is too apt a description of the people in the industry.

This, according to the *Wall Street Journal*, is the urtext of modern value investing.¹ Yes, I too had to look up this word.

Thus it would not be entirely illogical for Generation Z to conclude that the best use of *Security Analysis* is to prop up their laptop for a Zoom call. And you would be correct in assessing that this remarkable book, among many benefits, will put the camera exactly at your eye level, which is undeniably the most attractive video angle.

Having propelled the founding fathers of value investing into acute twenty-first century relevance, let me set the record straight on Benjamin

¹ “Graham’s 1934 book, *Security Analysis*, with David Dodd, is widely viewed as the urtext of modern value investing.” Ari Weinburg, “Can an Index Fund Deliver the ‘Value?’” *Wall Street Journal*, September 8, 2015, <https://www.wsj.com/amp/articles/can-an-index-fund-deliver-the-value-1441764704>.